

BANKING STRUCTURE, NBFCS AND FINANCIAL REGULATION

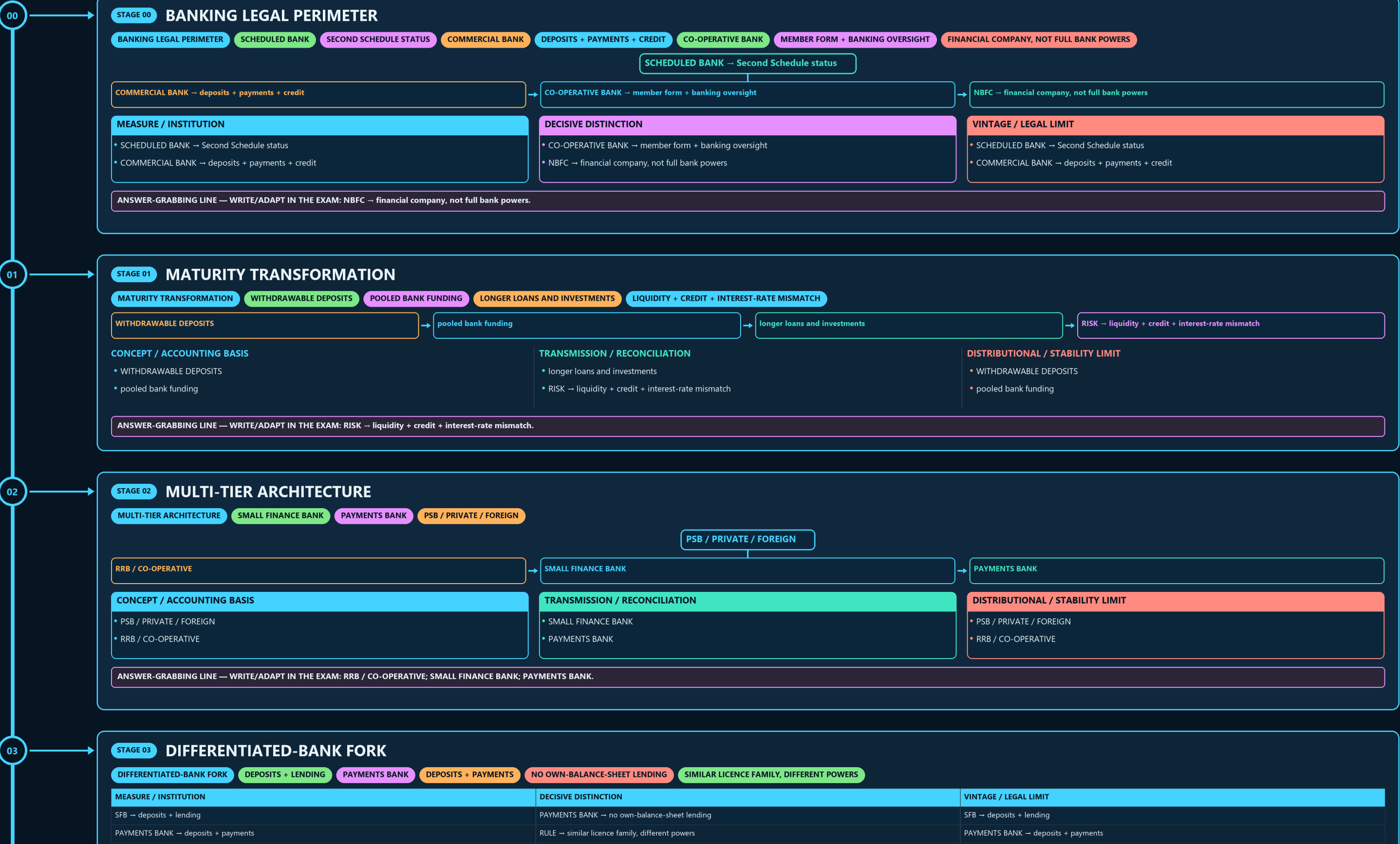
BANKING LEGAL PERIMETER → MATURITY TRANSFORMATION → MULTI-TIER ARCHITECTURE → DIFFERENTIATED-BANK FORK → RURAL-CREDIT MAP → PSL TARGET BOARD

Read the thick cyan rail from Stage 00 to the final core synthesis. Each card uses a concept-appropriate structure; the grey E card is optional enrichment only and never repairs missing core content.

PRIMARY CORE FLOW SUBORDINATE EXTRA APPROVAL / REVIEW

Approval: FALSE • Pending user review • active generation g1 • explicit approval of this exact generation is required • all prior artifacts unchanged

CORE BEFORE EXTRA • prior artefacts unchanged • exact same master drives poster and tiles



• RRB / CO-OPERATIVE

• PAYMENTS BANK

• RRB / CO-OPERATIVE

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: RRB / CO-OPERATIVE; SMALL FINANCE BANK; PAYMENTS BANK.

03

STAGE 03

DIFFERENTIATED-BANK FORK

DIFFERENTIATED-BANK FORK

DEPOSITS + LENDING

PAYMENTS BANK

DEPOSITS + PAYMENTS

NO OWN-BALANCE-SHEET LENDING

SIMILAR LICENCE FAMILY, DIFFERENT POWERS

MEASURE / INSTITUTION	DECISIVE DISTINCTION	VINTAGE / LEGAL LIMIT
SFB → deposits + lending	PAYMENTS BANK → no own-balance-sheet lending	SFB → deposits + lending
PAYMENTS BANK → deposits + payments	RULE → similar licence family, different powers	PAYMENTS BANK → deposits + payments

MEASURE / INSTITUTION

• SFB → deposits + lending

• PAYMENTS BANK → deposits + payments

DECISIVE DISTINCTION

• PAYMENTS BANK → no own-balance-sheet lending

RULE → similar licence family, different powers

VINTAGE / LEGAL LIMIT

• SFB → deposits + lending

• PAYMENTS BANK → deposits + payments

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: PAYMENTS BANK → no own-balance-sheet lending; RULE → similar licence family, different powers.

04

STAGE 04

RURAL-CREDIT MAP

RURAL-CREDIT MAP

RURAL INTERMEDIARY

LEAD BANK

DISTRICT COORDINATION

SERVICE AREA

LOCAL RESPONSIBILITY

COVERAGE DOES NOT ENSURE VIABLE CREDIT

LEAD BANK → district coordination

SERVICE AREA → local responsibility

LIMIT → coverage does not ensure viable credit

DATED SERIES / INSTRUMENT

• RRB → rural intermediary

• LEAD BANK → district coordination

WHAT CHANGED

• SERVICE AREA → local responsibility

• LIMIT → coverage does not ensure viable credit

COMPARABILITY / STATUS LIMIT

• RRB → rural intermediary

• LEAD BANK → district coordination

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: LIMIT → coverage does not ensure viable credit.

05

STAGE 05

PSL TARGET BOARD

PSL TARGET BOARD

MOST DOMESTIC BANKS

40 PER CENT OVERALL

18 PER CENT

SMALL/MARGINAL FARMERS

10 PER CENT

WEAKER SECTIONS

12 PER CENT

MEASURE / INSTITUTION	DECISIVE DISTINCTION	VINTAGE / LEGAL LIMIT
MOST DOMESTIC BANKS → 40 per cent overall	SMALL/MARGINAL FARMERS → 10 per cent	MOST DOMESTIC BANKS → 40 per cent overall
AGRICULTURE → 18 per cent	WEAKER SECTIONS → 12 per cent	AGRICULTURE → 18 per cent

MEASURE / INSTITUTION

• MOST DOMESTIC BANKS → 40 per cent overall

• AGRICULTURE → 18 per cent

DECISIVE DISTINCTION

• SMALL/MARGINAL FARMERS → 10 per cent

• WEAKER SECTIONS → 12 per cent

VINTAGE / LEGAL LIMIT

• MOST DOMESTIC BANKS → 40 per cent overall

• AGRICULTURE → 18 per cent

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: MOST DOMESTIC BANKS → 40 per cent overall.

06

STAGE 06

PSL STATUS GATE

PSL STATUS GATE

TARGETS COME FROM RBI MASTER DIRECTIONS

CATEGORIES AND SUB-TARGETS CAN CHANGE

QUOTE THE EFFECTIVE DIRECTION

DO NOT CALL A RATIO PERMANENT

CATEGORIES AND SUB-TARGETS CAN CHANGE

QUOTE THE EFFECTIVE DIRECTION

DO NOT CALL A RATIO PERMANENT

DATED SERIES / INSTRUMENT

• TARGETS COME FROM RBI MASTER DIRECTIONS

WHAT CHANGED

• QUOTE THE EFFECTIVE DIRECTION

COMPARABILITY / STATUS LIMIT

• TARGETS COME FROM RBI MASTER DIRECTIONS

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: MOST DOMESTIC BANKS → 40 per cent overall.

06

STAGE 06 PSL STATUS GATE

PSL STATUS GATE TARGETS COME FROM RBI MASTER DIRECTIONS CATEGORIES AND SUB-TARGETS CAN CHANGE QUOTE THE EFFECTIVE DIRECTION DO NOT CALL A RATIO PERMANENT

TARGETS COME FROM RBI MASTER DIRECTIONS

CATEGORIES AND SUB-TARGETS CAN CHANGE

QUOTE THE EFFECTIVE DIRECTION

DO NOT CALL A RATIO PERMANENT

DATED SERIES / INSTRUMENT

- TARGETS COME FROM RBI MASTER DIRECTIONS
- CATEGORIES AND SUB-TARGETS CAN CHANGE

WHAT CHANGED

- QUOTE THE EFFECTIVE DIRECTION
- DO NOT CALL A RATIO PERMANENT

COMPARABILITY / STATUS LIMIT

- TARGETS COME FROM RBI MASTER DIRECTIONS
- CATEGORIES AND SUB-TARGETS CAN CHANGE

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: QUOTE THE EFFECTIVE DIRECTION; DO NOT CALL A RATIO PERMANENT.

07

STAGE 07 NBFC CONTAGION CHAIN

NBFC CONTAGION CHAIN WHOLESALE FUNDING + MATURITY MISMATCH DHFL STRESS MUTUAL FUNDS + BANKS + MARKETS NON-BANK STRESS CAN BE SYSTEMIC

WHOLESALE FUNDING + MATURITY MISMATCH

IL&FS / DHFL stress

mutual funds + banks + markets

LESSON → non-bank stress can be systemic

CONCEPT / ACCOUNTING BASIS

- WHOLESALE FUNDING + MATURITY MISMATCH
- IL&FS / DHFL stress

TRANSMISSION / RECONCILIATION

- mutual funds + banks + markets
- LESSON → non-bank stress can be systemic

DISTRIBUTIONAL / STABILITY LIMIT

- WHOLESALE FUNDING + MATURITY MISMATCH
- IL&FS / DHFL stress

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: mutual funds + banks + markets; LESSON → non-bank stress can be systemic.

08

STAGE 08 DEPOSITOR PROTECTION BOUNDARY

DEPOSITOR PROTECTION BOUNDARY ELIGIBLE BANK DEPOSITS OWNER CAP RS 5 LAKH PER DEPOSITOR PER BANK SECURITIES + INSURANCE + ORDINARY NBFC CLAIMS PREVENTION, NOT PAYOUT

DICGC → eligible bank deposits

OWNER CAP → Rs 5 lakh per depositor per bank

OUT → securities + insurance + ordinary NBFC claims

PCA → prevention, not payout

MEASURE / INSTITUTION

- DICGC → eligible bank deposits
- OWNER CAP → Rs 5 lakh per depositor per bank

DECISIVE DISTINCTION

- OUT → securities + insurance + ordinary NBFC claims
- PCA → prevention, not payout

VINTAGE / LEGAL LIMIT

- DICGC → eligible bank deposits
- OWNER CAP → Rs 5 lakh per depositor per bank

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: OUT → securities + insurance + ordinary NBFC claims.

09

STAGE 09 REGULATORY PERIMETER

REGULATORY PERIMETER BANKS + NBFCs + PAYMENTS CROSS-SECTOR COORDINATION RBI → BANKS + NBFCs + PAYMENTS

RBI → banks + NBFCs + payments

SEBI → securities

IRDAI / PFRDA → insurance / pensions

FSDC → cross-sector coordination

CONCEPT / ACCOUNTING BASIS

- RBI → banks + NBFCs + payments
- SEBI → securities

TRANSMISSION / RECONCILIATION

- IRDAI / PFRDA → insurance / pensions
- FSDC → cross-sector coordination

DISTRIBUTIONAL / STABILITY LIMIT

- RBI → banks + NBFCs + payments
- SEBI → securities

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: IRDAI / PFRDA → insurance / pensions; FSDC → cross-sector coordination.

09

STAGE 09 REGULATORY PERIMETER

REGULATORY PERIMETER

BANKS + NBFCs + PAYMENTS

CROSS-SECTOR COORDINATION

RBI → BANKS + NBFCs + PAYMENTS

RBI → banks + NBFCs + payments

SEBI → securities

IRDAI / PFRDA → insurance / pensions

FSDC → cross-sector coordination

CONCEPT / ACCOUNTING BASIS

- RBI → banks + NBFCs + payments
- SEBI → securities

TRANSMISSION / RECONCILIATION

- IRDAI / PFRDA → insurance / pensions
- FSDC → cross-sector coordination

DISTRIBUTIONAL / STABILITY LIMIT

- RBI → banks + NBFCs + payments
- SEBI → securities

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: IRDAI / PFRDA → insurance / pensions; FSDC → cross-sector coordination.

10

STAGE 10 BALANCE-SHEET AND INCLUSION TRAPS

BALANCE-SHEET AND INCLUSION TRAPS

ACCESS + USAGE + QUALITY

SHARED EXPOSURE, NOT ZERO RISK

LOANS / INVESTMENTS → ASSETS

LOANS / INVESTMENTS → assets

DEPOSITS → liabilities

FI-INDEX → Access + Usage + Quality

SYNDICATION → shared exposure, not zero risk

MEASURE / INSTITUTION

- LOANS / INVESTMENTS → assets
- DEPOSITS → liabilities

DECISIVE DISTINCTION

- FI-INDEX → Access + Usage + Quality
- SYNDICATION → shared exposure, not zero risk

VINTAGE / LEGAL LIMIT

- LOANS / INVESTMENTS → assets
- DEPOSITS → liabilities

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: FI-INDEX → Access + Usage + Quality; SYNDICATION → shared exposure, not zero risk.

11

STAGE 11 FINANCIAL-REGULATION ANSWER SPINE

FINANCIAL-REGULATION ANSWER SPINE

CLASSIFY INSTITUTION AND POWERS

MAP FUNDING + LEVERAGE + SAFETY NET

TRACE CONTAGION AND SUPERVISION

BALANCE INCLUSION, DIVERSITY AND STABILITY

CLASSIFY institution and powers

MAP funding + leverage + safety net

TRACE contagion and supervision

BALANCE inclusion, diversity and stability

CONCEPT / ACCOUNTING BASIS

- CLASSIFY institution and powers
- MAP funding + leverage + safety net

TRANSMISSION / RECONCILIATION

- TRACE contagion and supervision
- BALANCE inclusion, diversity and stability

DISTRIBUTIONAL / STABILITY LIMIT

- CLASSIFY institution and powers
- MAP funding + leverage + safety net

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: TRACE contagion and supervision; BALANCE inclusion, diversity and stability.

E

EXTRA SUBORDINATE ENRICHMENT — ONLY AFTER THE COMPLETE CORE

OPTIONAL ADVANCED ENRICHMENT

BANKING COMBINES LEVERAGE, RUNNABLE LIABILITIES AND MATURITY TRANSFORMATION, WHICH

NBFC VULNERABILITY OFTEN COMES FROM WHOLESALE FUNDING, ASSET-LIABILITY MISMATCH

SCALE-BASED REGULATION SEEKS PROPORTIONALITY WHILE TIGHTENING RULES AS SYSTEMIC

CONSOLIDATED SUPERVISION IS NECESSARY WHEN RISKS MOVE ACROSS GROUP

RESOLUTION REGIMES SHOULD PROTECT CRITICAL FUNCTIONS WITHOUT GUARANTEEING SHAREHOLDERS

COMPETITION POLICY, CONSUMER PROTECTION, CYBER RESILIENCE AND PRUDENTIAL SAFETY

REGULATES BANKS, CO-OPERATIVE BANKING FUNCTIONS AND SPECIFIED NBFC CATEGORIES.

OPTIONAL MODEL / MEASUREMENT DEPTH

- CAUTION: Banking combines leverage, runnable liabilities and maturity transformation, which
- CAUTION: NBFC vulnerability often comes from wholesale funding, asset-liability mismatch and
- CAUTION: Scale-based regulation seeks proportionality while tightening rules as systemic
- CAUTION: Consolidated supervision is necessary when risks move across group entities or market

VINTAGE, BASKET OR LEGAL LIMIT

- CAUTION: Resolution regimes should protect critical functions without guaranteeing shareholders
- CAUTION: Competition policy, consumer protection, cyber resilience and prudential safety are
- RBI: regulates banks, co-operative banking functions and specified NBFC categories.
- DICGC: insures eligible deposits in covered banks within the statutory framework.

COMPARATIVE POLICY NUANCE

- SEBI, IRDAI and PFRDA: regulate securities, insurance and pension sectors
- Financial Stability and Development Council: supports inter-regulatory coordination
- CAUTION: A bank can offer demand deposits and payment services; an ordinary NBFC cannot issue
- CAUTION: A wholesale-funded NBFC can face a rollover crisis even without retail deposit

OPTIONAL STATUS — This optional depth is unnecessary for a competent core answer; use it only for added nuance after the complete core has been written.